

Overview

Our compensation strategy outlines the "how" of our compensation philosophy, turning principles into actionable steps. Through specific strategies, we aim to provide fair, transparent, and competitive compensation that honors each team member's contribution and reinforces their value within Asbury Theological Seminary (ATS). Initially, our focus is on the foundational components of a comprehensive compensation system to ensure that each stage of the process—from benchmarking and setting pay ranges to recognizing service and performance—is effectively established.

This document is organized around the three core questions from the compensation philosophy:

1. How will the Seminary pursue external equity?
2. How will the Seminary pursue internal equity?
3. How will the Seminary reward service and performance?

1. Pursue External Equity

To pursue external equity, ATS will implement the following steps::

- **Establish a Regular Review Cycle:** Every two years, ATS will conduct a comprehensive market benchmarking analysis for all staff roles. This study will be led by Employee Services (ES) and be reviewed by the Executive Leadership Team (ELT).
- **Update Job Descriptions:** ES will work with department leaders and supervisors to update job descriptions, ensuring they accurately reflect current responsibilities and duties for each role. These updated job descriptions will serve as the basis for salary comparisons in external surveys and will be reviewed no less than biannually to ensure they stay current with role expectations.
- **Select Relevant Salary Surveys:** Salary surveys will be chosen for their ability to provide accurate comparisons for roles, with a focus on those that best align with our industry and the Seminary's unique positions and needs.
- **Benchmark Positions:** ES will work collaboratively with department leaders to establish the most relevant benchmarks, using updated job descriptions as the foundation. This approach may include comparable roles within higher education as well as positions outside academia, depending on the specific talent market for each role.

- **Establish Pay Ranges:** After identifying the appropriate benchmark position in the salary survey, the pay range for each role will be established using the median market rate from that comparison.

2. Pursue Internal Equity

To pursue internal equity, ATS will implement the following steps:

- **Determine Initial Range Placement:** Initial placement within the pay range will be determined at the time of hire, based on budget realities and a candidate's experience and qualifications.
- **Progress Within the Range:** Advancement within the range after hire will primarily depend on an employee's performance and contribution, as measured during the annual performance evaluation process. At the conclusion of each review cycle, employees below the minimum of their designated range will be prioritized for adjustments to align with their role's established range, contingent on budget realities.

3. Reward Service and Performance

Each year, the Executive Leadership Team (ELT) will determine the dollar amount allocated for pay increases, recognizing both service and performance.

- **Allocate Service-Based Pay Increases:** Each budget cycle, the ELT will determine the budget allocation for service-based pay increases, which will take effect the following January 1. This allocation is to recognize employees' tenure at ATS, with a base increase awarded to all eligible staff in acknowledgment of their service, regardless of individual performance.
- **Reward with Performance-Based Pay Increases:** The ELT will also determine the budget allocation for performance-based pay increases in order to reward individual accomplishments and exceptional contributions. These increases will be informed by ATS's performance management system, which includes both performance planning and evaluation.
- **Distribute Total Compensation Statements:** ATS intends to provide each employee with an annual total compensation statement detailing their current base pay and the comprehensive value of their benefits.